higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE (VOCATIONAL)

ECONOMIC ENVIRONMENT
NQF LEVEL 3

19 NOVEMBER 2019

This marking guideline consists of 8 pages.

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SECTION A

QUESTION 1

1.1	1.1.1	A		
	1.1.2	B		
	1.1.3	C		
	1.1.4	D		
	1.1.5	A		
	1.1.6	B		
	1.1.7	B		
	1.1.8	C		
	1.1.9	D		
	1.1.10	B		
			(10 × 1)	(10)

1.2	1.2.1	False		
	1.2.2	True		
	1.2.3	False		
	1.2.4	False		
	1.2.5	False		
	1.2.6	True		
	1.27	True		
	1.2.8	True		
	1.2.9	False		
	1.2.10	False		
			(10 × 1)	(10)

1.3	1.3.1	Cash flow		
	1.3.2	Exchange rate		
	1.3.3	Redeployment		
	1.3.4	Environmental scanning		
	1.3.5	Globalization		
	1.3.6	Public opinion		
	1.3.7	Repo rate		
	1.3.8	Consumer Price Index		
	1.3.9	Bank notes		
	1.3.10	Money		
			(10 × 2)	(20)
				[40]

TOTAL SECTION A: 40

SECTION B

QUESTION 2

2.1 It is a general increase in price level. (2)

2.2
- High inflation leads to the prices of domestic goods being high, compared to those of other countries.
- Domestic goods become uncompetitive on foreign markets and result in decreased exports.
- Importing will also seem relatively cheaper to local residents, so imports will increase.
- Both decreased exports and increased imports will lead to a current account deficit. (Any 2 × 2) (4)

2.3 Inflation reflects a reduction in the purchasing power of a country's money. (2)

2.4
- An increase in the cost of key inputs (factors of production)
- An increase in wages and salaries.
- An increase in businesses' profits
- Natural disasters, which cause scarcity of essential items and inputs.
- A reduction in labour productivity (Any 3 × 2) (8)

2.5 The banking market is dominated by the 'Big Four' banks, namely Standard,✓ FNB,✓ ABSA and Nedbank,✓
Smaller banks✓ do exist, such as Capitec✓ and African Bank.✓ (6)

2.6 It measures the average change in prices of domestically produced goods when they leave the factory, as well as imported goods at a given time✓✓ (2)

2.7 Amount of decrease: R120 000 – R114 000 = R6 000✓
6 000✓/120 000 × 100✓
Percentage decrease = 5%✓ (4)

2.8 The government can:
- Create laws to control emissions.
- Charge for waste emitted into the environment.
- Extend property rights.
- Educate people about environmental sustainability. (4 × 2) (8)

2.9 R6, 50 × 20/100✓
= R1, 30✓
= R6, 50 + R1, 30✓
$/R = R5, 20✓ (4)

[40]

QUESTION 3

3.1
- Basic Conditions of Employment Act
- New Labour Relations Act
- Employment Equity Act
- Skills Development Act (4)

3.2
- Education
- Crime
- Diseases
- Unemployment
- Drugs
- Poverty
- HIV/AIDS (3)

3.3

FORMAL SECTOR	INFORMAL SECTOR
• Businesses are registered in terms of law • Pays tax • Income included in Gross National Income • Production output is included in the Gross Domestic Product	• Businesses are not registered • Do not pay tax • These are survivalist enterprises, not included in the Gross National Income • Production output is not included in the Gross Domestic Product

(3 × 2) (6)

3.4
- Disrupts normal functioning of the country.
- Damage to business premises.
- Businesspeople may stop trading because they are worried about their own safety.
- Safety of workers is threatened.
- Some streets and roads become inaccessible.
- Delivery of goods and services may be affected negatively in the area.

(2 × 2) (4)

3.5

SIMPLE INTEREST	COMPOUND INTEREST
Interest is calculated on the original amount that was borrowed (the principal) to work out how much interest is due.	Interest is calculated not only on the original amount of money borrowed but also on any unpaid interest that has been added to the principal.

(2 × 2) (4)

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3.6

COMPOUND INTEREST	
Year One	R100 000 × 22/100✓ = R22 000✓
Year Two	(R100 000 + R22 000)✓ × 22/100✓ = R26 840✓
Year Three	(R122 000 + R26 840)✓ × 22/100✓ = R32 745✓
Total interest payable = R22 000 + R26 840 + R32 745 = R81 585✓	
Total Repayment = R100 000 + R81 585 = R181 585✓	

(10)

3.7 3.7.1 Fixed production costs: this is how much it costs to produce the first unit of a product; it doesn't vary with extra products produced.

3.7.2 Break-even analysis: is a measure that can be used to calculate how much of a product or service one needs to sell before he/she starts making profit.

(2 × 3) (6)

3.8 Reasons for using a critical path analysis:

- To set out individual activities that makes up the larger project.
- To show the best order in which things should happen.
- To show which activities are dependent on other activities?
- To show which activities can happen simultaneously? (Any 3 × 1) (3)

[40]

QUESTION 4

4.1 4.1.1 Shares: Are proportionate rights that a person, the shareholder, has bought in a company.✓✓

4.1.2 Dividends: are the financial returns per share that the company pays to the shareholder, out of the declared profits.✓✓

(2 × 2) (4)

4.2

- Most businesses rely on the regular supply of electricity and failure of electricity threatens the achievement of business goals.
- When cables are stolen or telephone systems does not work communication with customers, suppliers and workers will not take place.
- Unavailability of internet due to broken telephone lines.
- Trading businesses mostly remain close during power failure.
- Loss of production hours.
- Reduced profits. (4 × 2) (8)

4.3
- To develop skills of the South African workforce.
- To increase the levels of investment in education and training in the labour market.
- To encourage employers to use the workplace as an active learning environment.
- To provide employees opportunities to acquire skills.
- To encourage workers to participate in learning programmers. (Any 4 × 2) (8)

4.4
- The Department of Labour can issue large fines for unfair labour practices.
- Industrial action
- Legal claims against the business
- Bad publicity (Any 2 × 1) (2)

4.5
- Banker and advisor to the government:✓ Provides the government with financial services such as being a banker to the government and administration of exchange control.✓
- Management of South African money and banking system:✓ Provision of liquidity to banks, bank notes, banker to other banks and settlement of inter-bank claims.✓
- Provision of economic and statistical services:✓ The Reserve bank collects, interprets and publishes economic statistics and other information.✓
- Formulating and implementing monetary policy: The Reserve bank implements monetary policy on the money and capital markets and keeps most of the foreign reserve. (Any 3 × 2) (6)

4.6
- Fight stigma and discrimination and respect the rights of all employees in policy and practice.
- Raise awareness and educate all employees.
- Treat all employees the same, but provide care and support.
- Arrange for voluntary testing, screening and counselling support at work.
- Create a safe and supportive atmosphere in the workplace.
- Provide care and support for the worker and his/her family. (Any 4 × 2) (8)

4.7
- Some people are not technologically inclined
- People might stay away from new technology
- This might mean less sales and profits
- They are very expensive to buy and maintain (Any 2 × 2) (4)

[40]

QUESTION 5

5.1 ESKOM: Electricity Supply Commission (1)

5.2 5.2.1
- Rent
- Insurance
- Wages
- Salaries
- Depreciation (Any ONE)

5.2.2
- Water and lights
- Fuel
- Telephone
- Stationery
- Stock (Any ONE)

(2 × 1) (2)

5.3
- Technological advances in communication and transport
- Development of multinational companies
- Free movement of capital
- Free trade and world trade agreements (4 × 2) (8)

5.4 Poverty cycle is the never-ending cycle in which the poor are unable to find employment, they don't have means to become educated and their children are often left with few opportunities.✓✓

Businesses can:
- Create employment that allows the means for people to satisfy their basic needs and wants.✓✓
- Provision of means to improve skills and education.✓✓✓✓ (6)

5.5 Profit is the amount left over after all other costs (rent, wages, and interest) have been paid.✓✓ Profits are not guaranteed and, in some years, entrepreneurs receive no profit at all.✓✓ (4)

5.6 5.6.1 R40 000 × R15, 48✓
= R619 200 + 50%✓
= R309 600 + R619 200✓
= R928 800✓ Selling price (4)

5.6.2 Cost of one box of labels: R78/3 ✓= R26,00✓✓ (3)

5.6.3 R120 000 / 50%✓ = R240 000✓✓ (3)

5.7
- Creates job opportunities.
- They are the driving force behind economic growth because they combine all the factors of production.
- Create wealth by using savings and borrowed money to buy capital goods.
- Promotes healthy competition. (Any 3 × 2) (6)

5.8
- List everything that needs to be done.
- List the time required for each task.
- List the number of people that are available to help with each task. (3)

[40]

TOTAL SECTION B: 160
GRAND TOTAL: 200

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